

Paid acquisition basics

Week 7 Lecture 2 · B2C to \$10k MRR

Autumn 2026 · Growth Manual for Technical Founders

What we'll cover

- When paid acquisition makes sense: the \$5k MRR gate
- CAC ceiling: how to calculate the most you should spend per customer
- Meta/Google basics: bid types, conversion API, attribution
- Creative as the variable: why the ad itself is 80% of the result
- The small-spend, fast-iteration loop

The \$5k MRR gate

Almost never before \$5k MRR

Why paid is premature at \$0-\$5k MRR:

- You don't have a stable LTV number yet: without 6+ months of cohort data, your CAC ceiling is a guess
- Paid amplifies a leaky funnel: you pay to fill a bucket that has holes
- A paid channel needs a creative iteration loop: \$200 per test, five variants minimum. That's \$1,000 before you have a signal.
- Most founders at this stage need channel learning, not channel scaling

Exception: a narrow \$50-\$100 test to validate a message is a research tool, not an acquisition program

The CAC ceiling: the one number that unlocks paid

From the First Round Review consumer-acquisition playbook (Hockenmaier & Rachitsky, 2019):

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CAC ceiling = LTV / target LTV:CAC ratio
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At 3:1 ratio:
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LTV = $120 (12 months × $10/mo) → CAC ceiling = $40
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LTV = $300 (12 months × $25/mo) → CAC ceiling = $100
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LTV = $600 (6 months × $100/mo) → CAC ceiling = $200
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If your blended CAC from organic channels is already above your ceiling, paid makes things worse, not better

What LTV:CAC ratio to use

Paddle / ProfitWell benchmark (2022) across 30,000+ subscription companies:

- **3:1** is the minimum for a sustainable paid channel
- **5:1** is healthy: leaves margin for creative tests and channel experiments
- **Below 2:1**: you are buying growth at a loss; fix retention or price first
- LTV here means net LTV after refunds, payment fees, and churn. Not gross revenue.

Do not use your best cohort's LTV. Use your median cohort.

Meta and Google fundamentals

Bid types: what each one optimizes for

Three bid types you will see on both platforms:

- **CPM (cost per thousand impressions):** You pay for reach. Use for brand and retargeting when you control targeting tightly.
- **CPC (cost per click):** You pay for traffic. Use when your landing page is the qualification step and click intent is high.
- **CPA / target ROAS (cost per acquisition / return on ad spend):** You pay for outcomes. Requires 50+ conversion events per week to train the algorithm. Use only when you have sufficient volume.

Start with CPC for a new product at low spend. CPA requires data you don't have yet.

Conversion API: why it matters now

Browser-side pixels have degraded since iOS 14.5 (2021) and GDPR:

- 20-40% of conversions go unattributed if you rely on browser pixel alone
- The conversion API (Meta) or enhanced conversions (Google) sends server-side events directly from your backend, bypassing ad blockers and browser restrictions
- You match server events to user identities via hashed email and phone

Implementation: send a `Purchase` or `CompleteRegistration` event from your Stripe webhook handler, not from the browser

Attribution windows: read this before reporting

- **1-day click / 1-day view:** Tight. Catches only high-intent conversions. Best for evaluating creative quality.
- **7-day click / 1-day view (Meta default):** Standard. Catches research cycles for sub-\$50 products.
- **28-day click (Google):** Broad. Can overcount, especially for subscription sign-ups where the first paid month is delayed.

Rule: pick one window before you launch a test and do not change it mid-test. Changing attribution windows makes week-over-week comparison meaningless.

Creative as the variable

Creative is 80% of paid performance

First Round Review (Hockenmaier & Rachitsky, 2019) on what drives paid results:

- Audience targeting is increasingly automated: Meta and Google are good at finding buyers
- The algorithm optimizes toward your conversion event, but only if the creative qualifies the right person
- A bad creative sent to the right audience converts poorly; a good creative to a rough audience still converts
- Most founders over-invest in targeting and under-invest in creative

Write the creative from customer language, not founder language

The five-variant rule

How to run a minimal paid test:

1. Write five ad creative variants from five different customer pain statements
2. Use the same landing page, same audience, same budget split (\$10-\$20 per variant)
3. Run for 4-7 days: enough impressions for a directional signal, not statistical certainty
4. Kill the bottom three. Double the budget of the top one. Iterate.
5. Never change targeting and creative in the same test: you won't know which variable drove the result

Total test budget: \$50-\$200 for a directional signal

Creative that comes from customer language

Tony Dinh on writing from customer language (Indie Hackers Podcast #260, 2022):

- Pull the exact phrases your users use in support tickets, reviews, and DMs
- An ad that says what a user already thinks sounds like truth, not advertising
- "Twitter lets me have a direct line to my users before, during, and after launch. That's worth more than any ad budget."

Your week 7 customer hour: talk to two power users and write five ad headlines directly from what they say

The small-spend, fast-iteration loop

Lenny Rachitsky on Booking.com's paid pivot (2022): they did not scale spend until they had a creative that was demonstrably profitable at small budgets

Adapted for solo founders at \$5k-\$10k MRR:

Week 1: \$100 test, 5 creatives, one landing page

Week 2: Kill 3, iterate 2, test a new landing page variant

Week 3: If top creative CAC < ceiling: scale 2x

Week 4: If CAC still holds: scale 2x again

If CAC breaks: stop, diagnose creative or landing page, don't increase targeting budget

Take-aways

1. Paid acquisition is almost never the right first move before \$5k MRR: it amplifies a leaky funnel.
2. Your CAC ceiling is LTV divided by your target LTV:CAC ratio. Compute it before any spend.
3. Conversion API (server-side events) is required for accurate attribution in a post-iOS 14 world.
4. Creative is the primary variable in paid performance: write it from customer language, not founder language.
5. The test unit is five creative variants at \$50-\$200 total; decisions come from week-over-week creative comparison, not audience tuning.

Most startups must become world-class at one growth engine before expanding to a second.

— Lenny Rachitsky, *Kickstarting and scaling a consumer business, Step 6: SCALE* (2022)

What's next

- **HW3 due:** Wedge channel sprint. Submit your channel commitment memo.
- **Section:** Ship your viral asset; wire share-click telemetry
- **Reading:** Week 7 reading at </c/b2c-10k-mrr-26au/readings/wk07>
- **Week 8:** Mobile, App Store, and the capstone scaffold check-in